PepsiCo: watch/defer pending evidence closure

Oladapo Olaniyan | Buy-side investment committee, no current PEP position | Working AI-assisted memo2026-10-06. Student recommendation/approval: [blank]. Horizon12-24months; forecastFY2026-2030. USD; PEP common shares. MarketdateOctober5,2026; price$125.65. BridgeJune13/sharesJuly2, not an October balance sheet.

Decision and strongest evidence

AI draft committee ask: retain PEP on a watchlist and defer initiation. Base value$117.29 is 6.7% below the dated close, with conditional low/base/high values$76.12/$117.29/$170.22. This is a scenario range, not a confidence interval or approved target. No scenario probability or averaged DCF/comps target is assigned. Senior sector analysts retain ownership of the view; this evidence stack supports their review.

FY2025 SEC revenue93,925, operating profit11,498 and intangible impairment1,993 support a13,491 normalized EBIT base (14.36% margin). Removal is an analytical normalization, not evidence that damaged brands recovered. CFO12,087 less cash capex4,415 is7,672; the normalized operating FCFF proxy8,346.98 differs for stated tax/nonoperating/WC reasons. The802 difference between cash-flow and balance-sheet WC change remains unresolved.

Forecast and valuation mechanics

FY2026 reported growth5% anchors to management4-6% outlook; later3.5/3.5/3/3% is assumed. Base gross margin54.2->54.5%, SG&A39.8->39.3%, capex4.7% of sales, normalized tax22%. Base FY2030 revenue112,079, EBIT17,036, FCFF12,332 USDm. Five-year IS/BS/CF articulate; cash funding is explicit, not silent plug.

WACC7.66%: observed Treasury5.31% plus assumed beta0.65, ERP5%, debt spread80bp; equity/debt weights use basicpoint marketcap/bookdebtproxy. Remaining2026 FCFF is prorated82/365, an unvalidated seasonality assumption. Terminal g2.5%, assumed incremental ROIC15% and g/ROIC16.67% reinvestment. Terminal PV is80.1% of EV: long-run economics dominate. DCF EV200,936 + cash10,251 + STI465 + affiliatebook2,180 - debt53,214 - NCI172 = common equity160,446 USDm; divide1,367.891558 million dilutedproxy shares. Claims/fair-value/current-date rollforward remain qualified.

Scenarios, market expectations and method disagreement

Case	Value/share	WACC	g	Terminal share	Driver
Low	$76.12	8.16%	1.5%	77.7%	weak demand/costs/WC
Base	$117.29	7.66%	2.5%	80.1%	modest productivity
High	$170.22	7.16%	3.0%	82.8%	volume/mix recovery
Value Reset Failure	$51.63	8.66%	1.0%	77.2%	price cuts/slow overhead

Ordinary sensitivity spans$86.17-$166.79 across WACC6.66-8.66% and g1.5-3%. This is parameter stress, not a causal scenario. Reverse DCF requires roughly0.85 percentage points more EBIT margin in every forecast year (lower SG&A), holding other drivers fixed, to explain125.65. It is one conditional market-implied path, not the market's uniquely identified belief.

Predeclared KO/MDLZ sector lenses use Oct5 closes, FY25 GAAP EBIT+D&A/common NI and Q2 bridges. EV/EBITDA median22.42x implies PEP$215.36 on reported EBITDA, versus$248.02 on separately normalized EBITDA; P/E median29.43x implies$177.27. These qualified comparisons exceed DCF because franchise/snack economics differ, MDLZ earnings include derivative mark-to-market losses, and book-investment/claim proxies and old denominators distort comparability. They do not justify averaging into a target. No defensible transaction valuation is claimed.

Downside, monitoring and committee conditions

Value Reset Failure assumes2027 revenue-3%, gross margin51.5%, SG&A41.5% and10 extra days for both receivables/inventory. Modeled year2 FCFF5,937 USDm; cumulative funding draw21,208 USDm while maintaining cashfloor4,000. This links operating weakness to cash, debt and value; it is not an actual covenant/default statement. Persistent deterioration would support do-not-initiate and payout/funding review, rather than relying on a reassuring base case.

AI-proposed entry reconsideration: a20% discount to reviewed basevalue (about$93.84) plus verified margin/cash recovery and credible downside funding. Monitor organic volume/pricing, North American margin, inventory/receivable days, cash conversion and debt/payouts after each release. Reversal: structural margin erosion or unavailable funding invalidates initiation; stronger verified economics/current bridge can support reconsideration. Threshold/horizon/risk budget and final committee ask require student judgment, not a claimed personal view.

42 ordinary checks passed, zero failed; clean fresh-environment outputs match five financial artifacts byte-for-byte. Two qualified/five open records remain. See Validation-and-AI-Use-working.pdf and source-register-v2.csv. Human locked prediction/run, real partner challenge and EditionA recovery/staff guidance are incomplete; recordings/transcripts/access/freeze not complete. No submission-ready attestation is made.